



PowerPoint Presentation by
Gail B. Wright
Professor Emeritus of Accounting
Bryant University

© Copyright 2007 Thomson South-Western, a part of The Thomson Corporation. Thomson, the Star Logo, and South-Western are trademarks used herein under license.

MANAGEMENT ACCOUNTING

8TH EDITION

BY

HANSEN & MOWEN

2 BASIC MANAGEMENT ACCOUNTING CONCEPTS

LEARNING OBJECTIVES

After studying this chapter, you should be able to:



LEARNING OBJECTIVES

1. Describe the cost assignment process.
2. Define tangible, intangible products, & explain why there are different product cost definitions.
3. Prepare income statements for manufacturing & service organizations.
4. Outline differences between functional-based and activity-based management accounting systems.

*Click the button to skip
Questions to Think About*



QUESTIONS TO THINK ABOUT:

Blue Ribbon Baking

What is the difference
between products & services?
How might that affect
accounting?



QUESTIONS TO THINK ABOUT:

Blue Ribbon Baking

Why wouldn't current product cost accounting provide useful information for expansion into the **2** new product lines?



QUESTIONS TO THINK ABOUT:

Blue Ribbon Baking

How would the pilot projects allow Blue Ribbon Baking to gather new accounting information?



QUESTIONS TO THINK ABOUT:

Blue Ribbon Baking

Is assigning costs for services
as important as it is for
products?



LEARNING OBJECTIVE

1

Describe the cost assignment process.



COST: Definition

“Cost is the cash or cash-equivalent value sacrificed for goods and services that is expected to bring a current or future benefit to the organization.”¹

¹Hansen & Mowen, 2007, p. 35.



OPPORTUNITY COST: Definition

“Opportunity cost is the benefit given up or sacrificed when one alternative is chosen over another.”²

²Hansen & Mowen, 2007, p. 35.



FACTS ABOUT COSTS

- ✱ Minimizing cost means a firm is becoming more efficient
- ✱ Costs are incurred to produce future benefits, (e.g. revenues)
- ✱ Costs are used up (expire) to produce revenues
- ✱ Expired costs are **expenses**
- ✱ *Cost* & price are related
 - ✱ Price must exceed cost



COST OBJECT: Definition

“A cost object is any item such as product, customer, project, activity & so on, to which costs are measured and assigned.”³

³Hansen & Mowen, 2007, p. 35.



Is there such a thing as TRUE
COST?

NO. “It is better to be
approximately correct than
precisely inaccurate.”



COST ASSIGNMENT

- ✧ Cause & effect relationship when assigning costs to cost objects
 - ✧ Direct costs are easily traceable
 - ✧ Indirect costs not so easily traceable



Can you name **3 ways
of assigning product
costs?**



COST ASSIGNMENT METHOD 1

✧ Direct tracing

✧ Method of identifying & assigning costs that are exclusively and physically associated with a cost object

✧ Example: cost of pizza & drink for lunch



COST ASSIGNMENT METHOD 2

✴ Driver tracing

- ✴ Using observable causal factors to measure resource consumption in assigning cost to a cost object
- ✴ Example: proportionate cost of shared lunch based on # slices of pizza and # of drinks consumed by each person



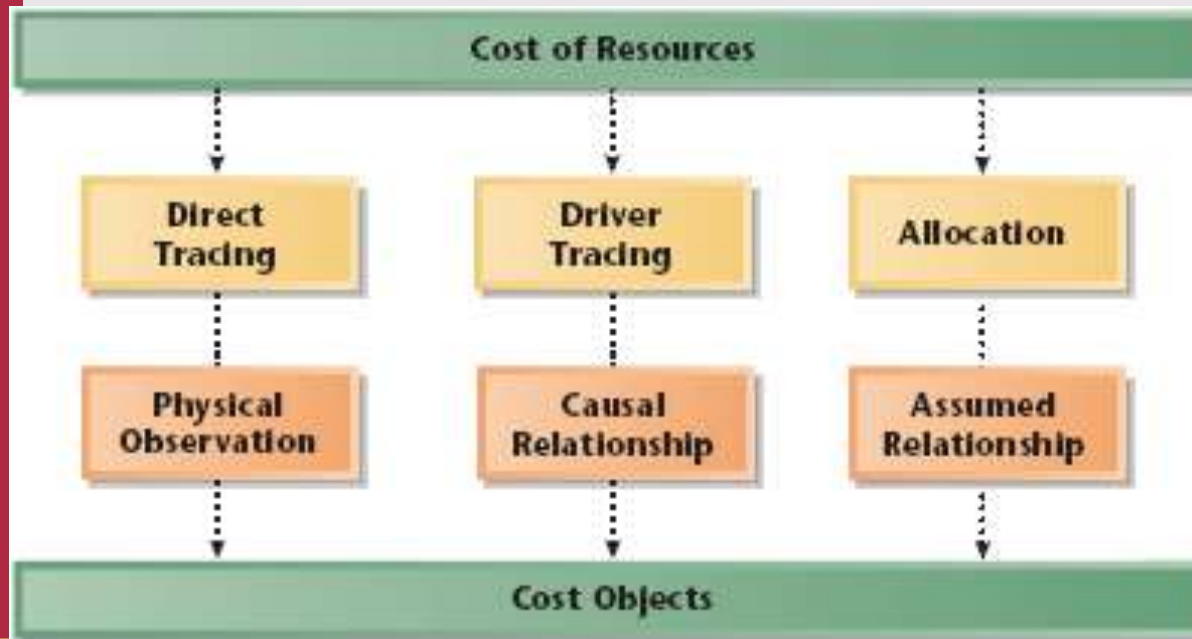
COST ASSIGNMENT METHOD 3:

Indirect Costs

- ✧ Indirect costs have no causal relationship with cost object
- ✧ Indirect costs may or may not be allocated to cost objects



RESOURCE COSTS



Cost assignment
process.

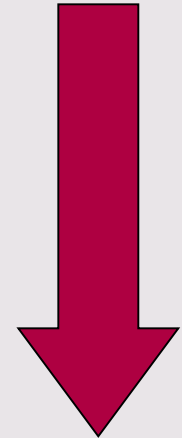


EXHIBIT 2-1

LEARNING OBJECTIVE

2

Define tangible & intangible products; explain why there are different product cost definitions.



Tangible products are goods produced by converting raw materials.

Example: televisions, hamburgers

Services are intangible products.
Example: dental or medical care.



DIFFERENCES

- ✧ Services differ from products on 4 dimensions
 - ✧ Intangibility
 - ✧ Perishability
 - ✧ Inseparability
 - ✧ Heterogeneity



COST ANALYSIS & INTERNAL VALUE CHAIN

- ✱ Different costs for different purposes
 - ✱ Strategic profitability analysis
 - ✱ Uses all costs & revenues associated with product
 - ✱ Short run (tactical) profitability analysis
 - ✱ Uses production, marketing, distributing & servicing, especially for special orders
- ✱ External financial reporting
 - ✱ Uses only production costs



INTERNAL VALUE CHAIN

STRATEGIC PROFITABILITY ANALYSIS

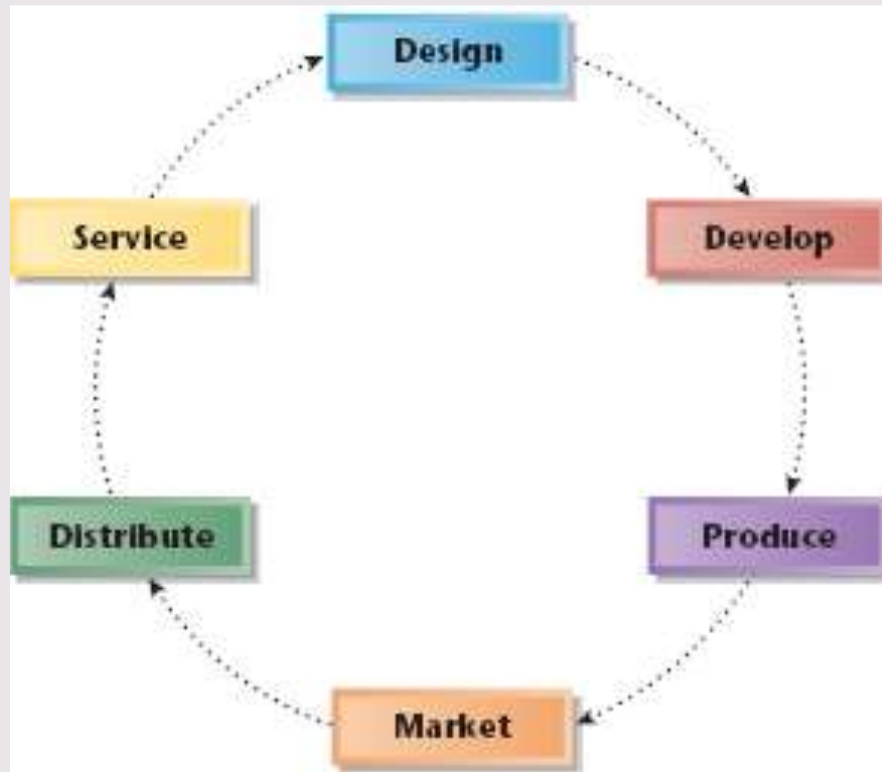


EXHIBIT 2-3

PRODUCT COSTS

- ✧ Production costs include
 - ✧ Direct materials
 - ✧ Traceable to goods, services produced
 - ✧ Direct labor
 - ✧ Traceable to goods, services produced
 - ✧ Overhead
 - ✧ All other production costs



OTHER COSTS

- * Prime costs

 - * Direct materials and direct labor

- * Selling & administrative costs

 - * Noninventoriable (period) costs

 - * Expensed as incurred in period



LEARNING OBJECTIVE

3

Prepare income statements for manufacturing and service organizations.



What is “cost of goods manufactured?”

“Cost of goods manufactured” is the total of production costs (direct materials & labor & overhead) for the period.



INCOME STATEMENT:

Manufacturing Firm

Manufacturing Organization Income Statement For the Year Ended December 31, 2008			
Sales			\$2,800,000
Less cost of goods sold:			
Beginning finished goods inventory	\$ 500,000		
Add: Cost of goods manufactured	<u>1,200,000</u>		
Cost of goods available for sale	\$1,700,000		
Less: Ending finished goods inventory	<u>300,000</u>		<u>1,400,000</u>
Gross Margin			\$1,400,000
Less operating expenses:			
Selling expenses	\$ 600,000		
Administrative expenses	<u>300,000</u>		<u>900,000</u>
Income before income taxes			<u>\$ 500,000</u>

Exhibit 2-5 Income Statement for a Manufacturing Organization

EXHIBIT 2-5

COST OF GOODS MANUFACTURED

Manufacturing Organization Income Statement For the Year Ended December 31, 2008			
Direct materials:			
Beginning inventory	\$200,000		
Add: Purchases	<u>450,000</u>		
Materials available	\$650,000		
Less: Ending inventory	<u>50,000</u>		
Direct materials used		\$ 600,000	
Direct labor		350,000	
Manufacturing overhead:			
Indirect labor	\$122,500		
Depreciation	177,500		
Rent	50,000		
Utilities	37,500		
Property taxes	12,500		
Maintenance	<u>50,000</u>		
			<u>450,000</u>
Total manufacturing costs added			\$1,400,000
Add: Beginning work in process			<u>200,000</u>
Total manufacturing costs			\$1,600,000
Less: Ending work in process			<u>400,000</u>
Cost of goods manufactured			<u>\$1,200,000</u>

Exhibit 2-6 Statement of Cost of Goods Manufactured

EXHIBIT 2-6

How does the income statement for a service company differ from that of a manufacturing company?

A service company doesn't have the manufacturing costs associated with producing a product.



LEARNING OBJECTIVE

4

Outline differences between functional-based and activity-based management accounting systems.



Can you name **2** ways to design a management accounting system?

Functional based accounting (**FBM**) & activity based accounting (**ABM**) are 2 ways to design a management accounting system.



How does an FBM system differ from an ABM system?

FBM & ABM systems differ in the ways they assign costs and how they assign responsibility for efficient operations.



MANAGEMENT ACCOUNTING SYSTEMS (FBM)

✧ Functional-based management system (FBM)

✧ Cost view

- ✧ Only uses drivers related to the production function to assign costs

- ✧ Direct materials, direct labor, machine hours

✧ Operational efficiency view

- ✧ Holds managers of each function (e.g., engineering) responsible for controlling costs to derive operating efficiency



FBM

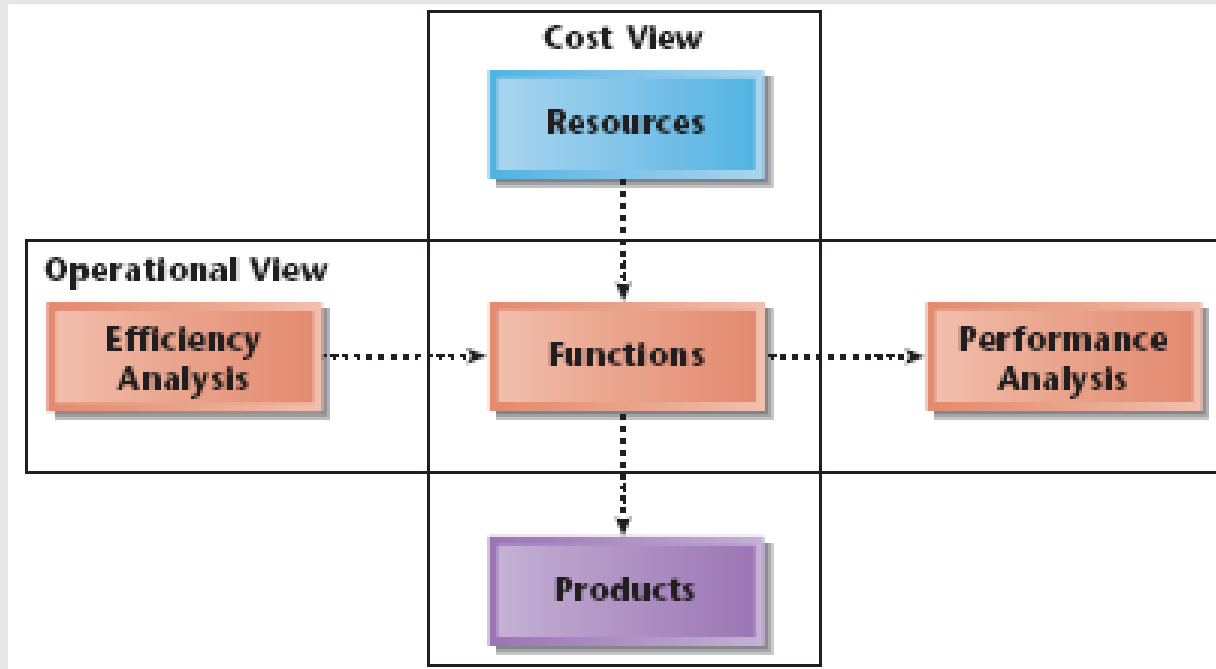


EXHIBIT 2-8

MANAGEMENT ACCOUNTING SYSTEMS (ABM)

✧ Activity-based management system (ABM)

✧ Cost view

- ✧ Driver analysis, activity analysis, performance evaluation

- ✧ A tracing-intensive system

✧ Operational efficiency view

- ✧ Focuses on managing activities and improving values for operational efficiency



ABM

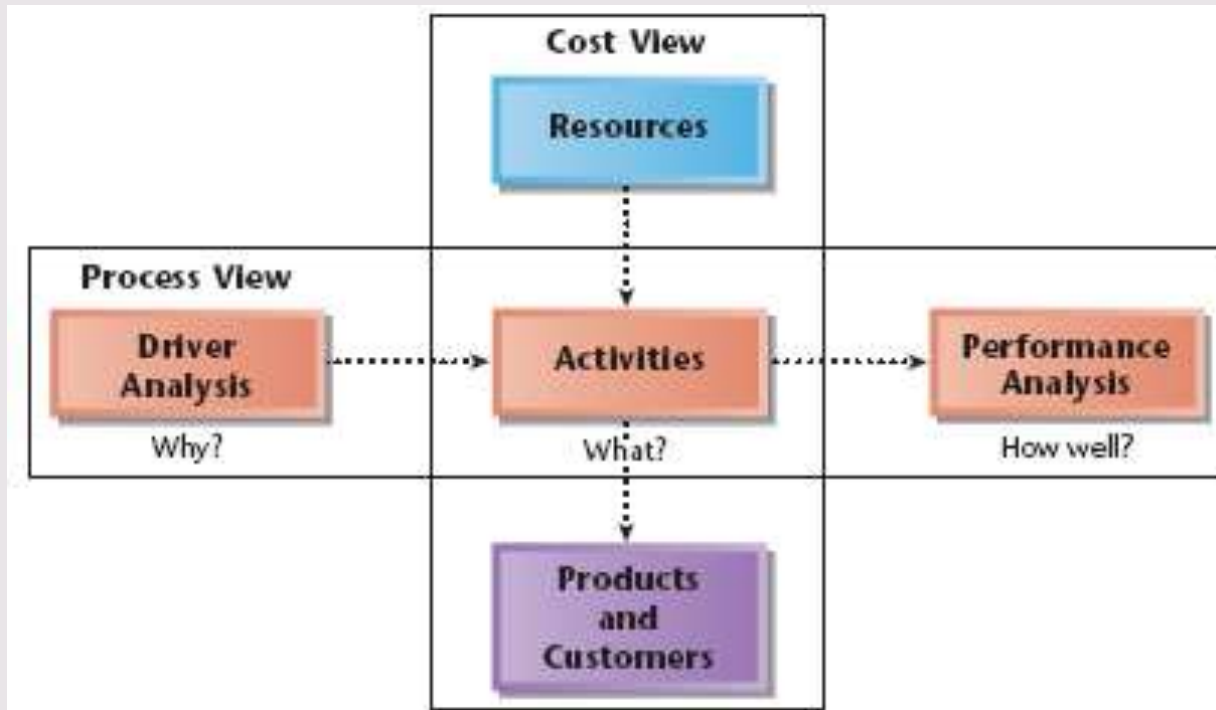


EXHIBIT 2-9

CHAPTER 2

THE END